

The Prompt: Craft Snacks Growth Initiative

To get started on your project, familiarize yourself with this prompt. The prompt provides you with the necessary business context for Craft Snacks and the growth initiative that you will be planning out. After gaining a good understanding of all the information in this prompt, you can move on to Instructions, in which we will show you the step-by-step process to complete the project.

Context

The Business

Craft Snacks is an online monthly subscription box filled with delicious, gourmet snacks. Each month, customers can adjust their snack preferences based on themes. The themes change each month and there are usually 3-5 fun themes to choose from. Example themes include:

“Strawberry Sweets”

“Matcha Madness”

“Chocolate Connoisseurs”

“Surprise Box”

Each box includes 10-15 snacks that are hand-picked by internal snack connoisseurs according to the selected theme preference.

The Platform

Craft Snacks has a web-only platform where customers can

- Learn about Craft Snacks
 - A landing page that explains the value prop of Craft Snacks
- Manage Accounts
 - Sign up for a subscription plan
 - Cancel their subscription plan
- Track Order
 - Track their order history
 - Track current order progress
- Manage Preferences
 - Adjust their snack box theme preference
- Share Reviews
 - Write product reviews for the snack box
 - Post their reviews for other users to see

The Business Model

As a mid-sized, e-commerce platform that has found its initial market fit, the business currently has a steady stream of revenue from the monthly subscription model.

Customers can sign up for a monthly subscription plan (\$30/month) and can choose to cancel at any point.

Craft Snacks offers customers a collection of snacks based on their selected theme preferences. To emphasize the “surprise” effect as well as maintain the scalability of the product, there is no option to customize items in the box.

Problem

As a Growth Product Manager at Craft Snacks, you lead a team focused on growing the user base, ensuring the company continues to acquire a healthy stream of new customers.

Your specific business goal is to achieve 20% month-over-month growth in new monthly subscribed users over the next quarter. The business is looking for sustainable growth over time, as opposed to a short-term growth hack.

In terms of product strategic planning, the business is looking to create viral growth by leveraging the existing customers’ network. By engaging existing customers with our product in a meaningful way while sharing its value, the hope is to drive more new users to realize and trust in the product value faster.

Metrics

The following are the metrics and definition of metrics that the Growth team has been monitoring closely and the latest monthly baseline.

Note: these are metrics that are meant for reference; your growth strategy choice should come from the Analytics and Research section below.

- New Visitor Session: 70,000 per month
 - A unique visitor who visits the website landing page for the first time and stayed for a meaningful amount of time
- Acquisition Channels Distribution
 - For all new visitors who came to the Craft Snacks landing page, we have acquired them from multiple different channels:
 - Online ads: 55%
 - Search engine results: 27%
 - Social media sharing: 18%
- New Visitor Conversion Rate: 3%

- Among the unique visitors who visit the website for the first time, the percentage that signed up for a subscription plan within the month
- New Monthly Subscribed Users: 2100 per month
 - Number of first-time new customers who signed up that month
 - Equals: New Visitor Conversion Rate * New Visitor Session
- Monthly Subscribed Users: 120,000
 - Number of existing customers that have a monthly subscription plan
- Monthly Active Users: 30% per month
 - Existing customers who had visited the website at least once a month and had a meaningful engagement. Meaningful engagement defined as follows:
 - wrote a review
 - adjusted snack preference theme
 - viewed their order tracking status

Analytics and Research

The user research and analytics team has shared the following trends with you. This information has been heavily validated and the business has shown high confidence in it.

Data Trends

Of the 30% of the users who visited the Website monthly to engage in meaningful interaction,

- 65% came to the site to adjust their snack box preferences
- 48% came to the site to write and share a review of the snack box they received
- 17% is driven by other activities: viewing current order status, view order history

User Research Findings - Potential New Customers

- In a large-scale survey with potential new customers (customers who have landed on the website for a meaningful amount of time, but never signed up for the subscription), we learned the following major sentiments
 - "I am interested in trying out new snacks"
 - "The website looks really fun and piqued my interest"
 - "What if I don't like the majority of the snacks there?"
 - "What if the order doesn't arrive?"
 - "What if the snack is poorly packaged"

User Research Findings - Existing Customers

- In a user research study with existing customers, we learned that
 - The majority of Craft Snacks customers are those who love new experiences. They often describe how they look forward to Craft Snacks and its “element of surprise.”
 - 36% of customers have posted pictures of the snack box on social media (Instagram, Facebook, etc. not on the Craft Snacks website) to share their excitement
 - 45% of customers are able to point to “a favorite snack” and have taken some form of action to try to obtain it again (visiting local stores, googling it, etc.)